

Flow 7: Spend Controls

Product Area: Bank / Program Admin

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Status: Draft

1. Purpose & Scope

This PRD defines the requirements for **Spend Controls** in the Bank / Program Admin console — the rules engine and configuration surface used by program admins to restrict, limit, or shape cardholder transaction behavior at the program, account, and card levels.

This document covers:

- Program-wide MCC allow/deny lists
- Geographic / region restrictions
- Cash advance enable/disable (program- and card-level)
- Velocity limits (transaction count thresholds)
- Per-transaction, daily, weekly, monthly spend limits
- Rule layering hierarchy (program → account → card)
- Rule effect on decline behavior surfaced through Flow 5

This document does not define:

- Fraud scoring engine (separate; this surface defines deterministic rules, not probabilistic risk models)
 - Card-level activation rules (Flow 1 / Flow 2)
 - Transaction display (Flow 5 is the consumer of decline events generated here)
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2. Goals & Success Criteria

Goal	Success Criterion
Program admins can configure spend rules safely and quickly	Common rule edits achievable in ≤ 3 clicks with preview of impact
Rules are evaluated deterministically at authorization time	Every decline driven by a spend rule maps to a single, named rule and a clear reason code
Layering is predictable	Card-level rules override account-level which override program-level, with conflict resolution explicit and audited
Cardholders receive comprehensible decline reasons	Every spend-control decline produces a cardholder-friendly reason via Flow 5's vocabulary



3. Personas

- **Program Admin (primary):** Sets program-wide rules and policy.
- **Servicing Agent:** Configures or overrides spend controls for individual accounts in support of a customer interaction.
- **Risk / Compliance:** Sets restrictions for high-risk MCCs and regions.
- **Cardholder (downstream):** Subject to the rules; sees decline reasons in the consumer app.



4. Functional Requirements

4.1 Rule Layering Hierarchy

Spend rules are evaluated in this order at authorization time:

1. **Card-level rules** (most specific, override everything below)
2. **Account-level rules**
3. **Program-level rules** (broadest, applies to all accounts in the program)

Conflict resolution

- A more-permissive lower-level rule cannot override a deny at a higher level for compliance-mandated denies (e.g., a program-level OFAC-driven country

block cannot be unblocked at the card level).

- For non-compliance rules, the more-specific rule wins.
- The admin UI shows the effective rule for an account/card by computing the layered result.

4.2 MCC Allow/Deny Lists

Program level

- Default deny list (e.g., adult entertainment, gambling, crypto MCCs — issuer-configurable per program risk policy)
- Default allow list (everything not on deny)
- Or, can be configured as default-deny with an explicit allow list

Account / Card level

- Per-account or per-card overrides (e.g., a corporate card limited to travel MCCs)
- Override directions: allow-only (whitelist), deny-additional, or remove a program-level deny (subject to permission)

MCC grouping

- Admins can define and edit named MCC groups (e.g., "Gambling," "Travel," "Dining") for easier rule authoring
- Group membership is editable; changes are versioned

4.3 Geographic Restrictions

- Allowed countries / regions (default: cardholder's stated country + travel-allowed list)
- Deny list of countries (e.g., OFAC-sanctioned)
- Region-level granularity where supported by network data
- Cardholder-set travel notices (post-MVP) would relax these temporarily

4.4 Spend Limits

Limit types (configurable at program / account / card)

- Per-transaction maximum amount
- Daily spend ceiling
- Weekly spend ceiling
- Monthly spend ceiling
- Per-MCC-group ceiling (e.g., "\$500/month on Dining")

Behavior

- Attempting a transaction that would exceed a ceiling is declined with reason `LIMIT_EXCEEDED_<scope>`
- Pre-auth holds count against the limit until release/clearing
- Limits reset at the configured period boundary (daily = midnight in cardholder's local time zone unless otherwise configured)

4.5 Velocity Limits

- Maximum number of transactions per hour
- Maximum number of transactions per day
- Maximum number of declines before card auto-freeze (fraud-style heuristic)
- Velocity counters track approved + declined attempts depending on rule type

4.6 Cash Advance Controls

- **Program-level toggle:** cash advance enabled / disabled for entire program (inherited from Flow 1)
- **Account-level:** override if program allows
- **Per-cash-advance limit:** transaction max, daily max, monthly max
- **APR and fee** for cash advance pulled from Flow 1 product configuration

If cash advance is disabled at any active level, ATM/cash advance authorization attempts decline with `CASH_ADVANCE_DISABLED`.

4.7 Rule Authoring UI

Rule creation flow

- Select scope (Program / Account / Card)
- Select rule type (MCC / Geo / Limit / Velocity / Cash Advance)
- Configure parameters
- Preview affected accounts/cards (e.g., "This rule will apply to 12,840 cards")
- Save as Draft or Activate

Rule editing

- Edits to active rules are versioned
- Effective date can be immediate or future-scheduled

Rule deletion / deactivation

- Deactivating does not delete; rule is marked inactive but retained for audit

4.8 Rule Preview & Simulation

Before activation, admin can run a simulation:

- Input: a sample transaction (amount, merchant MCC, country, account)
- Output: would-it-be-approved-or-declined under current rules vs. proposed rules
- Useful for verifying intended behavior before publish

4.9 Per-Account / Per-Card Override View

From an account detail view (Flow 2), admin sees:

- All active spend rules at all levels for this account/card
- Effective rule resolution
- Override history (who added/removed, when, why)
- One-click "Reset to program defaults"

4.10 Audit Log

Every rule creation, edit, deactivation captured:

- Actor, timestamp, scope, rule type, before/after state, reason
- Effective date / time
- Impact summary (number of accounts/cards affected)

5. Business Rules

1. Program-level rules cannot be silently overridden at lower levels for compliance-mandated rules; an explicit override permission gate is required.
2. Rule changes take effect on the next authorization, not retroactively.
3. Pending pre-auth holds at the time of a rule change continue to count against the old rule's limits until they release; new auths use the new rule.
4. Velocity counters do not reset on rule changes; they continue under the new rule's thresholds.
5. Limit ceilings count post-currency-conversion amounts in the cardholder's home currency.
6. A rule deactivation does not retroactively un-decline past transactions.
7. Card-level cash advance enable is moot if program-level is disabled — the deny stands.

6. Dependencies

Depends On	Reason
Flow 1: Card Program Configuration	Cash advance program-level toggle, product MCC defaults
Flow 2: Cardholder Account Management	Account / card context for per-account rules
Flow 5: Transaction Monitoring	Surfaces the effect of rules (declines, reasons)
Authorization engine	Consumer of rules at auth time
End-Client: Transaction decline reasons, Cash Advance flow	Cardholder-facing surfaces affected by rules

7. Edge Cases

Case	Expected Behavior
Cardholder travels to a country not on allow list	Transactions decline GEO_RESTRICTED ; cardholder can contact support; admin can apply temporary travel notice (post-MVP self-service)

Case	Expected Behavior
Two overlapping MCC rules — one allow, one deny on same MCC at different levels	More-specific level wins for non-compliance rules; deny wins for compliance rules
Pre-auth hold for \$500 on a card with a \$1,000 monthly ceiling, then a \$700 transaction attempted same month	Second transaction declines <code>LIMIT_EXCEEDED_MONTHLY</code> even though the hold may release later
Rule change mid-day reduces daily limit below already-spent amount	Cardholder cannot transact further today; counter resets at next boundary
Cash advance attempted at ATM when program-level disabled	Decline <code>CASH_ADVANCE_DISABLED</code> ; ATM may display generic decline; cardholder app shows the specific reason
Velocity limit auto-freezes a card after N declines	Card moves to Frozen with reason <code>Bank-initiated: Velocity threshold</code> ; cardholder is notified per Flow 2 / Flow 5
Currency-converted amount slightly exceeds limit due to FX rate	Decline at conversion; reason includes the converted amount and rate for transparency
Same merchant runs two authorizations in quick succession (e.g., split tender)	Each evaluated individually against rules; both may approve or one may decline if a per-merchant or velocity rule is in play
OFAC list update adds a country mid-day	Program-level deny applies immediately; in-flight pre-auths complete or expire normally; new auths blocked
Cardholder asks support to permit a one-time transaction otherwise blocked	Servicing agent can apply a time-bound override at card-level with reason and expiry; logged for audit

8. Compliance Notes

- **OFAC sanctions:** Country-level denials must be enforceable at program level and cannot be overridden at lower levels without a documented compliance exception.
- **Reg E / Reg Z:** Decline reasons surfaced to the cardholder must be specific enough to support understanding and dispute rights; vocabulary defined in Flow 5 §4.4.

- **CFPB UDAP:** Surprise spend declines without comprehensible reason are a risk surface; this flow's strict reason-code requirement mitigates that.
 - **Network rules:** Some MCC categories are subject to network-specific handling (e.g., gambling restrictions vary by network and jurisdiction); rule library reflects current network guidance.
 - **Audit retention:** Rule history retained for the regulatory retention period.
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? 9. Open Questions

- Cardholder self-service spend controls (e.g., "lock travel category for me") — out of MVP, planned for follow-up?
- Should rules support time-of-day windows (e.g., no transactions 2–5 AM)? Currently no.
- Per-merchant block (specific merchant name/ID) — out of MVP?
- Travel notice self-service — out of MVP; agent-only path exists via override.
- Should there be a "soft decline" / step-up auth path instead of a hard decline for borderline rules? Currently no.